EXECUTIVE SUMMARY

I. Introduction

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree. Baggao is considered as first (1st) class municipality in the Province of Cagayan, politically subdivided into forty-eight (48) barangays.

It occupies the second biggest land area in the Province of Cagayan. It lies approximately within 17 deg 55 min 12 sec North latitude and 121 deg 58 min 12 sec East longitude. It is bounded on the east by the Pacific Ocean; on the south by the Municipality of Peñablanca; on the north by the Municipality of Gattaran and on the west by the Municipalities of Alcala and Amulung. The Municipality is located approximately 57 kilometers from Tuguegarao City, the commercial center of the province.

The Municipality has become famous as a hunting ground. Old folks recount that the Ibanags who frequently hunted in the locale, used to wash their catching in a big mud hole before taking them home which they called "Abbagaoan". This "abbaggaoan" an Ibanag word, meaning a place to wash, became a noted landmark for hunters from which the name of the Municipality eventually originated.

The Municipality of Baggao derives its mandate from Republic Act No. 7160, also known as the Local Government Code of 1991.

Pursuant to Section 16 of Republic Act No. 7160, also known as the Local Government Code of 1991, the Municipality of Baggao, as a Local Government Unit, shall ensure and support, among other things, the preservation and enrichment of culture, promote health and safety, enhance the right of the people to a balance ecology, encourage and support the development of appropriate and self-reliant scientific and technological capabilities, improve public morals, enhance economic prosperity and social justice, promote full employment among its residents, maintain peace and order, and preserve the comfort and convenience of its inhabitants.

II. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY 2025 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and

whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase (Decrease)
Financial Condition			
Total Assets	₱ 1,614,036,437.02	₱ 1,542,784,868.15	₱ 71,251,568.87
Total Liabilities	251,591,575.08	305,235,291.37	(53,643,716.29)
Total Government Equity	1,362,444,861.94	1,237,549,576.78	124,895,285.16
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	617,744,144.41	537,294,661.04	80,449,483.37
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	538,241,189.24	519,456,174.84	18,785,014.40
Net Income	79,502,955.17	17,838,486.20	141,565,032.51
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	712,229,885.52	616,411,280.76	95,818,604.76
Appropriations-Continuing	141,565,032.51	316,374,844.77	(174,809,812.26)
Allotments – Current	712,229,887.52	616,411,280.76	95,818,606.76
Allotments –Continuing	141,565,032.51	316,374,844.77	(174,809,812.26)
Obligations – Current	562,476,516.79	527,639,371.11	34,837,145.68
Obligations –Continuing	50,645,302.19	189,857,202.44	(139,211,900.25)
	Funds Received from Other Agencies		
NGAs	-	107,377,032.27	(107,377,032.27)
GOCCs	-	-	-
LGUs	-	-	-
NGO/POs	-	-	-
Total	-	107,377,032.27	(107,377,032.27)
	Funds Transferred to Other Agencies		
NGAs	-	-	-
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**-**	**-**	**-**

IV. Operational Highlightss

The Municipality of Baggao is headed by the Municipal Mayor, Honorable Leonardo C. Pattung, and Vice-Mayor, Honorable Rowel B. Gazmen and includes various officers and employees, as follows:

Position/Designation	Number of personnel complements
Elective Officials	12
Co-terminus Employees	5
Permanent Employees	210
Casual Employees	128
Job order Employees	191

In addition, the Municipality of Baggao has implemented 71.21 percent of its significant and developmental projects for Calendar Year 2025, with a total cost of P98,685,245.65.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2025 because these are materially misstated by an aggregate amount of P4,608,334.56 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Baggao disclosed misstatements totaling P4,608,334.56 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Insurance Expenses			₱ 2,143,125.45	₱ 2,143,125.45
Repairs and Maintenance – Transportation Equipment			2,143,125.45	2,143,125.45
Medical, Dental and Laboratory Supplies Expenses			151,450.00	151,450.00
Information and Communication Technology Equipment (ICT)	₱ 151,450.00			151,450.00

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Depreciation-Machinery and Equipment			9,591.83	9,591.83
Accumulated Depreciation – Information and Communication Technology Equipment	9,591.83			9,591.83
Total	₱ 161,041.83		₱ 4,447,292.73	₱ 4,608,334.56

VI. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. Charges to the LDRRMF Trust Fund amounting to ₱12.682 million were incurred for programs, projects, and activities not included in the approved Local Disaster Risk Reduction and Management Fund Investment Plan and Annual Investment Program, thereby limiting the ability to fully evaluate the propriety and alignment of the expenditures with disaster risk reduction and management plans, contrary to Items 5.1.2 and 5.1.3 of COA Circular No. 2012-002 and the provisions of NDRRMC-DBM-DILG Joint Memorandum Circular No. 2013-1.

   We recommended that the Management require the require the Local Disaster Risk Reduction and Management Officer, in coordination with the Planning and Budget Offices, to:

   A. Ensure that all programs, projects, and activities to be charged against the LDRRMF, including the Special Trust Fund, are duly included in the approved LDRRMFIP and AIP prior to implementation as provided by COA Circular No. 2012-002 and NDRRMC, DBM-DILG JMC No. 2013-1; and

   B. Facilitate the timely updating and alignment of the LDRRMFIP and AIP, whenever necessary, to accommodate implementation requirements, subject to the approval of the LDRRMC and the Sanggunian.

2. Nineteen (19) projects, with a total cost of P49.850 million, were not implemented by the Municipality, thereby hindering attainment of the

intended socio-economic development and environmental management outcomes as prescribed under DBM, DOF and DILG Joint Memorandum No. 1 dated November 4, 2020.

We recommended that the Management:

A. Strengthen planning, project management, and procurement processes by ensuring that only implementation-ready projects with completed Program of Works, site readiness, and defined timelines are included in the Annual Investment Plan.

B. Enhance monitoring mechanisms to prevent delays and identify and address the root causes of non-implementation; and

C. Expedite the implementation of pending projects to optimize the utilization of the 20% Development Fund and achieve the intended socio-economic and environmental outcomes.

VII. Summary of total Suspensions, Disallowances and Charges.

The status of suspension, disallowances and charges as of December 31, 2025 is summarized as follows:

Particulars	Beginning Balance (January 1, 2025)	This period January 1 to December 31, 2025		Ending Balance (December 31, 2025)
		NS/ND/NC	NSSDC	
Notice of Suspension	-	-	-	-
Notice of Disallowance	-	-	-	-
Notice of Charge	-	-	-	-
Total	-	-	-	-

VIII. Status of Implementation of Prior Year's Audit Recommendations

The Status of Implementation of Prior Year's Audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Implemented	7	77.78
Not Implemented	1	11.11
Not Implemented and reiterated in Part II of this report	1	11.11
TOTAL	**9**	**100**